

# *Rural Housing* CONCEPTS

# INTRODUCTION



# Loans

## V S . R E N T A L A S S I S T A N C E

The US Department of Agriculture (USDA) assists low income households in various ways.

- **Direct Loans** and grants to allow low income households to purchase or build their own single family homes (*Section 502*)
- USDA **backed Loans** and grants to allow low income households to purchase or build their own single family homes (*Section 504*)
- USDA backed **Loans** to allow **owners/investors** to purchase or build multifamily properties that will then rent to low income households (*Section 515 / 538 / 514 / 516*)
- USDA funded **Rental Assistance** to assist low income families (who often are living in a property which was funded by a USDA backed loan) (*Section 521*)

**Many** local improvement project grants (Library boiler systems, water treatment plants, etc.) The overall goal / ethic behind all of these methods is to foster home **ownership** in rural areas.

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# The L O A N



**Section 515** (and 514 and 516) Program offers direct loans to provide affordable housing to very low, low, and moderate households, elderly and persons with disabilities in rural areas.

- Usually **Single Family**: Very Low, Low and Moderate income households, Disabled given priority
- **Elderly Projects** (4350 guidelines)
- **Group Homes**: Elderly, disabled or mentally impaired

Households may **also** be eligible for Rental Assistance (Section 521)

# The RENTAL ASSISTANCE

**Section 521** Offers Rental Assistance to residents and ensures elderly, disabled and low income tenants pay affordable rent.

- Housing projects built under **Section 515** are eligible for to apply for rental assistance.
- Not all residents will receive Rental Assistance- Could be living as a “Market Renter” called No Deep Subsidy
- Sites may have other types of assistance: Local Housing Vouchers, HUD vouchers, State based assistance

*\*\*\*These must be mapped in OneSite just like with Tax Credits\*\*\**

# The B U D G E T S



**Budgets** are documents prepared to show projections of the site's revenue and expenses for the coming year.

- Used to justify things like **gross rent** increases
- Budgets must be reasonable and realistic also address projects physical **accessibility** needs. (Processed in **OneSite Central**, interfaces with **RealPage Accounting**.)
- Budget forms: RD 3560-7, Balance sheet 3560-10
- Processed and Transmitted to "**MINC**" like Tenant Data (MINC is the RH version of TRACS)

# Rent Changes

## A N D   D E P O S I T S

### **Rent Changes**

- All rental changes must have prior approval by the Agency, even if the project is receiving HUD Section 8 subsidies. Documented and submitted in the annual budget using RD Form 3560-7.
- The effective dates of any approved changes will coincide with the start of the project's fiscal year.
- Tenants who's rent will increase due to the rent change require 30 days notice.

### **Security Deposits**

- Security deposits must be a reasonable amount based on the unit size also can not be increased during later years. (by floorplan) These cannot be changed without prior Agency consent.
  - Payment plans may be in place when the tenant can not pay the full deposit amount.
-

# Occupancy REQUIREMENTS

To be admitted to multi-family housing, applicants must meet the following basic requirements:

- Household Income must not exceed the **Income Limits** defined by the Agency. The Agency recognizes three income limit levels: Very Low (**VL**), Low (**L**) and Moderate (**M**)
- Household Meets the **Program Definition** of an eligible household: **Elderly** and **Family** Projects, and **Group Homes**.

Elderly and Disabled as defined by the HUD 4350 guidelines.



# RENT CONCEPTS



# Project

## RENT TYPES

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Rents are set by unit size and established by the borrower through a Project Budget and must be deemed reasonable (Projects will have one or more of the following)

- **Note Rent-** The full rental charge established to cover expenses in the housing project's approved budget and the required loan payment (**similar to 236 Market Rent**)
  - **Basic Rent-** The minimum rental charge established to cover expenses in the housing project's approved budget and required loan payment (**similar to 236 Basic Rent**)
  - **HUD Contract Rent-** The rental charge for housing receiving project-based HUD Section 8 rental subsidies (**if layered with HUD, the HUD rules "win"**)
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# Tenant RENT

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Tenants pay rent that is based on Project Type, Utilities, Income and the availability of Rental Assistance

- **Net Tenant Contribution (similar to Section 8 TR)-** Form **RD 3560-8** is used to calculate a tenant's rent based on their income. The Net Tenant Contribution (**NTC**) to rent must not exceed the **highest** of: **30%** of Monthly Adjusted Income (- UA), **10%** of Gross Monthly Income (- UA), and **Public Assistance**. The **Basic Rent**, unless Rural Housing Service (RHS) rental assistance is provided to the household.
  - **Overage (236 Excess Rent)-** Overage is the portion of the tenant's net tenant contribution (NTC) that exceeds basic rent up to note rent and gets returned to USDA (just like 236 Excess Rent)
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# Plan I/ II

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## **Plan I, (pre-1968)**

- Tenants will pay the full Note (Market) rent regardless of income
- This is very uncommon

## **Plan II, (post-1968)**

- Has a minimum rent (Basic rent) and a maximum rent (Note rent).
- Tenants without RA: Pay a rent within that range, based on income (similar to 236)
- Tenants with RA: Pay the Basic Rent, although the Rental Subsidy will pay a portion or all of the rent on behalf of the tenant. (similar to Section 8)

# Unit Rent TYPES



The project will have up to five unit rent methods:

**Note Rents (Market Renters)-** Projects with note rent only (Plan I), the tenant pays the full note rent regardless of eligibility.

**Basic Rents (236 Basic Rent)-** The tenant will pay their Net Tenant Contribution (NTC) but no less than Basic / no more than Note.

**Rental Assistance Rents (Similar to Section 8 Renters)-** Tenants will pay NTC based on their income, then the Rental Assistance “makes up the difference”.

**HUD (Section 8 and others)-** Tenant will pay the HUD calculated rent based on the standard HUD calculation

**Tenant-Based Subsidies (External Vouchers) -** Voucher will pay all or some of the Basic Rent, the tenant pays the difference.

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# Manager U N I T S



Unit Rents for Site Managers, Caretakers, and Owner-Occupied Units:

- Units can be used as a **revenue producing** unit at approved rental rates. The site manager and/or caretaker may be an eligible **or** ineligible tenant and their rent contribution will be based on their total income from all sources.
- Units also can be used as a **non-revenue** for a Manager's unit giving the manager a rent concession which can be a partial month rent or a full month rent. This unit will show on the Project Worksheet as a **vacant** unit and indicating as the name of "Manager's Unit"

Internal Use

# TERMS AND FORMS

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# Common TERMS

RHS has many of the same concepts as HUD but uses different names

- **Agency**
  - **Basic Rent (236 Basic Rent)**
  - **Borrower (Property Owner)**
  - **Housing Project (Property)**
  - **Management Interactive Network Connection – (MINC) (TRACS)**
  - **Minor (Dependent)**
  - **Note Rent (236 Market Rent)**
  - **Overage (236 Excess Rent)**
  - **Rental Assistance (RA) (Assistance Payment)**
  - **Tenant or Co-Tenant (Head or Co-Head)**
  - **Resident Assistant (Live in Aide)**
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# Important FORMS

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## Commonly Used

- **Tenant Certification** (50059)- RD Form 3560-8
- **Project Worksheet** (HAP Request)- RD Form 3560-29
- **Budget**- RD Form 3560-7

## Other Forms

**Authorization to Release Applicant/Tenant Information**- RD Form 3550-1

**Balance Sheet**- RD Form 3560-10

**Interest Credit Agreement**- RD Form 3560-9

**Request to Withdrawal Reserve funds**- RD Form 3560-12

**Rental Assistance Agreement**- RD Form 3560-27

**Verification of Employment**- RD Form 1910-5

**Verification of Rental History**- RD Form 1944-60

**Verification of Bank Accounts/Deposits**- RD Form 1944-62

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# Important LINKS

- **USDA / Rural Development**

<http://www.rd.usda.gov/>

- **MINC**

<https://usdaminc.sc.egov.usda.gov/>

- **Handbooks**

- HB-1-3560 MFH Loan Origination Handbook

- HB-2-3560 MFH Asset Management Handbook

- HB-3-3560 MFH Project Servicing Handbook

<http://www.rd.usda.gov/publications/regulations-guidelines/handbooks>

*Tenant*

C E R T I F I C A T I O N S

Internal Use

# F I N A N C I A L C A L C U L A T I O N S

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# A djusted Income D E D U C T I O N S

- **Dependent Deduction-** A \$480 deduction will be made from the households annual income for each member who qualifies as a dependent.
- **Child Care Expenses-** Unreimbursed child care expenses for the care of children under the age of 13 are deducted from annual income if: The childcare enables a household member to work or go to school; No other adult household member is available to care for the children; The child care (work) expenses do not exceed the income generated by that household member. If the child care provider is a household member, the cost of the children's care cannot be deducted.
- **Elderly Household Deduction-** A single \$400 deduction is made from annual income for any elderly household.

Sound Familiar?  
**EXACTLY** the same  
as the 50059 rules!!!

# A djusted Income

## D E D U C T I O N S



- **Disability Expense Deductions**- Reasonable expenses for the care of an individual with disabilities in excess of three percent of annual income may be deducted from annual income.
- **Medical Expenses**- Elderly or Disabled Households Only. Medical expenses may be deducted form annual income.

Internal Use

# TENANT CERTIFICATION

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# Tenant CERTIFICATION

The tenant certification is broken down into 10 parts over 2 pages:

**Page 1:**

- Effective Date/Certification Type
- Part I – Project and Unit Identification
- Part II – Tenant Household Information
- Part III – Tenant Asset Information
- Part IV – Income Calculations
- Part V – Income Levels
- Part VI – Certification by Tenant

**Page 2:**

- Part VII – Preliminary Calculations
- Part VIII – Determining Gross Tenant Contribution (GTC)
- Part IX – Determining Net Tenant Contribution (NTC)
- Part X – Certification by Borrower
- Rental assistance does not show on the 3560-8



# Project and Unit

## PART I

### 4. Unit Type

Enter the appropriate unit type that corresponds to the specific unit that this certification is being generated for. This entry can be a max of 2 characters long. RD has a specific list of Unit Types that can be used based on the unit and its features.

### 5. Unit Number

Enter the appropriate unit number for the specific unit that this certification is being generated for.

| PART I-PROJECT AND UNIT IDENTIFICATION  |                                                           |                          |                              |
|-----------------------------------------|-----------------------------------------------------------|--------------------------|------------------------------|
| 2. Project Name<br><i>Highland Park</i> | 3. Borrower ID and Project Number<br><i>PMV1921233310</i> | 4. Unit Type<br><i>3</i> | 5. Unit Number<br><i>103</i> |

WARNING STATEMENT: Section 1001 of Title 18, United States Code provides, "Whoever, in any matter within the jurisdiction of any department or agency of the United States knowingly and willfully falsifies, conceals or covers up by any

4. Enter this tenant household's apartment unit size, according to the following:

- 0 — efficiency, no bedrooms
- 1 — one-bedroom
- 2 — two-bedrooms
- 3 — three-bedrooms
- 4 — four-bedrooms

For example:

— one-bedroom

\*\*\* From 3560-8 Instructions

Only when there is more than one type of each size of apartment unit, and there is a distinct rental rate for each type, begin the unit type code as follows:

- S — Small
- M — Medium
- L — Large
- H — Handicapped Design

For example:

— Small one-bedroom  
  — Medium one-bedroom

# Effective Date

## A N D C E R T I F I C A T I O N T Y P E

### 1. Effective Date

- The date should always be the first of a month.
- Ex: a 4/13 Unit Transfer would be a 5/1 Tenant Transfer
- Only exception is a Vacate, which is usually the last day of a month.

### Certification Type

- This section lists all available RD certification types.
- The appropriate certification type should be checked off to indicate the action that is taking place.

|                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                      |   |   |   |   |   |   |   |   |   |   |   |   |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---|---|---|---|---|---|---|---|---|---|---|---|
| 1. Effective Date                                                                                                                                                                                                                                                                            | <table border="1"> <tr> <td>M</td> <td>M</td> <td>D</td> <td>D</td> <td>Y</td> <td>Y</td> </tr> <tr> <td>0</td> <td>9</td> <td>0</td> <td>1</td> <td>1</td> <td>7</td> </tr> </table>                                | M | M | D | D | Y | Y | 0 | 9 | 0 | 1 | 1 | 7 |
| M                                                                                                                                                                                                                                                                                            | M                                                                                                                                                                                                                    | D | D | Y | Y |   |   |   |   |   |   |   |   |
| 0                                                                                                                                                                                                                                                                                            | 9                                                                                                                                                                                                                    | 0 | 1 | 1 | 7 |   |   |   |   |   |   |   |   |
| <input type="checkbox"/> Initial Certification<br><input checked="" type="checkbox"/> Recertification<br><input type="checkbox"/> Modify Certification<br><input type="checkbox"/> Cotenant to Tenant<br><input type="checkbox"/> Assign/Remove RA<br><input type="checkbox"/> Vacate a Unit | <input type="checkbox"/> Certification Expired & Eviction in Process<br><input type="checkbox"/> Designate 60 Day Absence<br><input type="checkbox"/> End 60 Day Absence<br><input type="checkbox"/> Tenant Transfer |   |   |   |   |   |   |   |   |   |   |   |   |

# Project and Unit

## PART I

### 2. Project Name

This field will contain the name of the Project.

This usually is the same as the site name, but not always.

### 3. Borrower ID & Project Number

Enter the Borrower ID and Project number into this field.

These numbers are assigned by RD when the initial loan was signed.

These numbers are unique to each individual Project.

| PART I-PROJECT AND UNIT IDENTIFICATION  |                                                           |                          |                              |  |
|-----------------------------------------|-----------------------------------------------------------|--------------------------|------------------------------|--|
| 2. Project Name<br><i>Highland Park</i> | 3. Borrower ID and Project Number<br><i>PMV1921233310</i> | 4. Unit Type<br><i>3</i> | 5. Unit Number<br><i>103</i> |  |

WARNING STATEMENT: Section 1001 of Title 18, United States Code provides, "Whoever, in any matter within the jurisdiction of any department or agency of the United States knowingly and willfully falsifies, conceals or covers up by any

4. Enter this tenant household's apartment unit size, according to the following: \*\*\* From 3560-8 Instructions

|   |   |                         |                                                                             |
|---|---|-------------------------|-----------------------------------------------------------------------------|
| 0 | — | efficiency, no bedrooms | For example:                                                                |
| 1 | — | one-bedroom             |                                                                             |
| 2 | — | two-bedrooms            | <input type="text" value="1"/> <input type="text" value="1"/> — one-bedroom |
| 3 | — | three-bedrooms          |                                                                             |
| 4 | — | four-bedrooms           |                                                                             |

Only when there is more than one type of each size of apartment unit, and there is a distinct rental rate for each type, begin the unit type code as follows:

|   |   |                    |                                                                                    |
|---|---|--------------------|------------------------------------------------------------------------------------|
| S | — | Small              | For example:                                                                       |
| M | — | Medium             |                                                                                    |
| L | — | Large              | <input type="text" value="S"/> <input type="text" value="M"/> — Small one-bedroom  |
| H | — | Handicapped Design | <input type="text" value="M"/> <input type="text" value="L"/> — Medium one-bedroom |

# Tenant Household Info.

## PART II

### 6. Tenant Subsidy Code

Enter the appropriate subsidy code in the empty box.

### \*Other Types at Basic Rent

Use this value for any other subsidy/RA type that is not listed above.

If directed so by the local Servicing Office the Other Subsidy Indicator and the amount will have to be filled out; otherwise leave blank.

| PART II – TENANT HOUSEHOLD INFORMATION                                                                                                                                               |          | STATEMENT REQUIRED BY THE PD/MA/ACT                                                                                                                                                                                                                                                                                 |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 6. Tenant Subsidy Code (enter code)                                                                                                                                                  | <b>7</b> | <b>7 - Other Types at Basic Rent</b><br><ul style="list-style-type: none"> <li>Use this value for any other subsidy/RA type that is not listed above.</li> <li>If directed so by the local Servicing Office the Other Subsidy Indicator and the amount will have to be filled out; otherwise leave blank</li> </ul> |
| 0 — No Deep Tenant Subsidy<br>1 — Rental Assistance (RA)<br>2 — Project Based Section 8<br>4 — Other Public RA<br>5 — Private RA<br>6 — HUD Voucher<br>7 — Other Types at Basic Rent |          |                                                                                                                                                                                                                                                                                                                     |
| Other Subsidy Indicator (leave blank if none, P-Partial or F-Full)                                                                                                                   |          | Round all monetary figures up to the nearest dollar at .50 and above<br>Other Subsidy Amount (For Partial) \$                                                                                                                                                                                                       |

E = Employee Observed

\*Enter the total number of members that apply.

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# Asset Income

## PART III

### 15. Net Family Assets

Enter the total of all verified assets.

If the total is less than \$5,000 enter a value of \$0 on this line

### 16. Imputed Income from Assets

Multiple Line 15 by the current Passbook Rate and enter total on this line.

### 17. Income from Assets

Enter the actual income that is being received from the household's Net Family Assets

#### PART III—ASSET INCOME

15. Net Family Assets (NOTE: If Line 15 is less than \$5,000, enter zero on Line 16.)

16. Imputed Income from Assets (Bank Passbook Savings Rate (\* ) x Line 15.)

17. Income from Assets

|    |  |  |  |  |  |
|----|--|--|--|--|--|
| \$ |  |  |  |  |  |
| \$ |  |  |  |  |  |
| \$ |  |  |  |  |  |

# Income Calculations

## PART IV

### 19. Adjustments to Income

For lines a. through d. enter the values of the households applicable and verified expenses and deductions.

List the total of all applicable expenses and deductions on line 19.e.

### 20. Adjusted Annual Income

Calculate by subtracting Line 19.e. from Line 18.f.

#### PART IV — INCOME CALCULATIONS

##### 18. Income

|                                                                    |                          |   |   |   |   |   |
|--------------------------------------------------------------------|--------------------------|---|---|---|---|---|
| a. Wages, Salaries, etc.                                           | \$                       | 1 | 1 | 0 | 0 | 0 |
| b. Soc. Sec., Pensions, etc.                                       | \$                       | 2 | 2 | 4 | 3 |   |
| c. Assistance                                                      | \$                       |   |   |   |   | 0 |
| d. Income Contributed by Assets<br>(Greater of Line 16 or Line 17) | \$                       |   | 1 | 1 | 3 |   |
| e. Other                                                           | \$                       |   |   |   |   | 0 |
| f. Annual Income                                                   | \$                       | 1 | 3 | 3 | 5 | 6 |
| g. Household Has Exempt Income                                     | <input type="checkbox"/> |   |   |   |   |   |

##### 19. Adjustments to Income

|                                                                               |    |   |   |   |   |
|-------------------------------------------------------------------------------|----|---|---|---|---|
| a. \$480 x total of Line 13                                                   | \$ |   | 9 | 6 | 0 |
| b. \$400 if elderly status                                                    | \$ |   |   |   | 0 |
| c. Medical exceeding 3% of Line 18f.<br>(if elderly, handicapped or disabled) | \$ |   |   |   | - |
| d. Child Care                                                                 | \$ | 4 | 1 | 0 | 4 |
| e. Total Adjustments                                                          | \$ | 5 | 0 | 6 | 4 |
| 20. Adjusted Annual Income<br>(Line 18.f. minus Line 19.e.)                   | \$ | 8 | 2 | 9 | 2 |

# Income Levels

## PART V

### 23. Date of Initial Project Entry

- Enter the date in which the household moved into the project.
- This is the actual physical date the household moved in, which can vary from the certification effective date.

### 24. Eligibility Income Level at Initial Project Entry

- Enter the households Eligibility code (see Line 22 for list of available codes) from when they originally moved into the project.
- This value may and can vary from the value used in Line 22.

#### PART V — INCOME LEVELS

21. Number of Household Members

3

23. Date of Initial Project Entry

M M D D Y Y  
0 5 0 7 1 2

22. Current Eligibility Income Level (Enter Code)

V

24. Eligibility Income Level at Initial Project Entry (Enter Code)

V



# Certification by Tenant

## PART VI

**Line a. Date**

**Line b. Tenant Signature**

This line is to be signed by the Tenant

**Line c. Date**

**Line d. Co-Tenant Signature**

This line is to be signed by the Co-Tenant

### PART VI — CERTIFICATION BY TENANT

I certify and acknowledge that if the Agency provides unauthorized assistance to the borrower/multi-family housing project owner for my benefit based on erroneous or fraudulent information provided in this tenant certification, I will reimburse the Agency for that unauthorized amount. If I do not, the Agency may use all remedies available to collect it, including those under the Debt Collection Act, to recover on the Federal debt directly from me.

a. Date:

|   |   |   |   |   |   |
|---|---|---|---|---|---|
| M | M | D | D | Y | Y |
| 0 | 8 | 2 | 2 | 1 | 7 |

b. Tenant Signature



c. Date:

|   |   |   |   |   |   |
|---|---|---|---|---|---|
| M | M | D | D | Y | Y |
|   |   |   |   |   |   |

d. Co-Tenant Signature

# Preliminary Calculations

## PART V II

**25. Adjusted Monthly Income**

**26. Monthly Income**

**27. Designated Monthly Welfare Shelter**

**Payment**

**28. Highest line 25 b, or line 27**

**29. Gross Basic Rent**

**30. Gross Note Rate Rent**

- Line a. – Note Rent for the unit.
- Line b. – Utility Allowance for the unit
- Line c. - Add line 30.a. and Line 30.b. and enter the total here.

### PART VII—PRELIMINARY CALCULATIONS

|                                            |       |                                                                                               |   |   |                                                    |                                                                                     |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
|--------------------------------------------|-------|-----------------------------------------------------------------------------------------------|---|---|----------------------------------------------------|-------------------------------------------------------------------------------------|---|-------|---------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|--|---|---|---|---|
| 25. Adjusted Monthly Income (Line 20 ÷ 12) | a. \$ | <table border="1"><tr><td></td><td></td><td>6</td><td>9</td><td>1</td></tr></table>           |   |   | 6                                                  | 9                                                                                   | 1 | x .30 | = b. \$ | <table border="1"><tr><td></td><td></td><td>2</td><td>0</td><td>7</td></tr></table> |                                                                                     |  | 2 | 0 | 7 |   |
|                                            |       | 6                                                                                             | 9 | 1 |                                                    |                                                                                     |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
|                                            |       | 2                                                                                             | 0 | 7 |                                                    |                                                                                     |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
| 26. Monthly Income (Line 18.f. ÷ 12)       | a. \$ | <table border="1"><tr><td></td><td></td><td>1</td><td>1</td><td>1</td><td>3</td></tr></table> |   |   | 1                                                  | 1                                                                                   | 1 | 3     | x .10   | = b. \$                                                                             | <table border="1"><tr><td></td><td></td><td>1</td><td>1</td><td>1</td></tr></table> |  |   | 1 | 1 | 1 |
|                                            |       | 1                                                                                             | 1 | 1 | 3                                                  |                                                                                     |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
|                                            |       | 1                                                                                             | 1 | 1 |                                                    |                                                                                     |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
|                                            |       |                                                                                               |   |   | 27. Designated Monthly Welfare Shelter Payment     | \$ <table border="1"><tr><td></td><td></td><td>-</td><td>-</td></tr></table>        |   |       | -       | -                                                                                   |                                                                                     |  |   |   |   |   |
|                                            |       | -                                                                                             | - |   |                                                    |                                                                                     |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
|                                            |       |                                                                                               |   |   | 28. Highest of Line 25.b., Line 26.b., or Line 27. | <table border="1"><tr><td></td><td></td><td>2</td><td>0</td><td>7</td></tr></table> |   |       | 2       | 0                                                                                   | 7                                                                                   |  |   |   |   |   |
|                                            |       | 2                                                                                             | 0 | 7 |                                                    |                                                                                     |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
|                                            |       |                                                                                               |   |   | 29. Gross Basic Rent                               |                                                                                     |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
| a. Basic Rent                              | \$    | <table border="1"><tr><td></td><td></td><td>4</td><td>5</td><td>0</td></tr></table>           |   |   | 4                                                  | 5                                                                                   | 0 |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
|                                            |       | 4                                                                                             | 5 | 0 |                                                    |                                                                                     |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
| b. Utility Allowance                       | \$    | <table border="1"><tr><td></td><td></td><td>7</td><td>2</td></tr></table>                     |   |   | 7                                                  | 2                                                                                   |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
|                                            |       | 7                                                                                             | 2 |   |                                                    |                                                                                     |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
| c. (Line 29.a. + Line 29.b.)               | \$    | <table border="1"><tr><td></td><td></td><td>5</td><td>2</td><td>2</td></tr></table>           |   |   | 5                                                  | 2                                                                                   | 2 |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
|                                            |       | 5                                                                                             | 2 | 2 |                                                    |                                                                                     |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
|                                            |       |                                                                                               |   |   | 30. Gross Note Rate Rent                           |                                                                                     |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
| a. Note Rate Rent                          | \$    | <table border="1"><tr><td></td><td></td><td>7</td><td>8</td><td>0</td></tr></table>           |   |   | 7                                                  | 8                                                                                   | 0 |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
|                                            |       | 7                                                                                             | 8 | 0 |                                                    |                                                                                     |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
| b. Utility Allowance                       | \$    | <table border="1"><tr><td></td><td></td><td>7</td><td>2</td></tr></table>                     |   |   | 7                                                  | 2                                                                                   |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
|                                            |       | 7                                                                                             | 2 |   |                                                    |                                                                                     |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
| c. (Line 30.a. + Line 30.b.)               | \$    | <table border="1"><tr><td></td><td></td><td>8</td><td>5</td><td>2</td></tr></table>           |   |   | 8                                                  | 5                                                                                   | 2 |       |         |                                                                                     |                                                                                     |  |   |   |   |   |
|                                            |       | 8                                                                                             | 5 | 2 |                                                    |                                                                                     |   |       |         |                                                                                     |                                                                                     |  |   |   |   |   |

# Determining GTC

## PART V III

Line 1. Enter the value from Part VII, Line 30.c.

Line 2. Enter the applicable Plan I Surcharge (if any).

This value can be found in Paragraph 7.4 D.1 of HB-2-3560

Line 3. Enter the total of Line 1. and Line 2.

### PART VIII—DETERMINING GROSS TENANT CONTRIBUTION (GTC)

Decision: *(check one)*

- ☒ A. If tenant *receives rental assistance (RA)* enter Line 28 on Line 31 below. If Line 28 exceeds Line 29.c., go to Decision B since this Tenant will not receive RA.
- ☐ B. If tenant *does not receive RA* and this project receives Plan II Interest Credit, enter the greater of Line 28 or Line 29.c. (but not to exceed Line 30.c.) on Line 31 below.
- ☐ C. If tenant *does not receive RA* and this project is a Plan I, Full Profit or Labor Housing project, complete Lines C.1. thru C.3. and enter Line C.3. on Line 31.

|                                  |    |  |  |   |   |   |
|----------------------------------|----|--|--|---|---|---|
| 1. Enter Line 30.c.              | \$ |  |  | 8 | 5 | 2 |
| 2. Add Plan I Surcharge (if any) | \$ |  |  | 1 | 0 | 7 |
| 3. Total (enter on Line 31)      | \$ |  |  | 9 | 5 | 9 |

# Determining NTC

## PART IX

Line 32. Utility Allowance- Enter the value located on either Line 29.b. or 30.b. in Part VII on this line.

Line 33. Final NTC- Subtract Line 32. from Line 31. and enter the total on this line.

◦This is the amount the tenant will pay the borrower.

◦If the value is negative, this is the amount the borrower will pay the tenant in the form of a utility reimbursement.

### PART IX—DETERMINING NET TENANT CONTRIBUTION (NTC)

31. GTC (From PART VIII)

32. Utility Allowance (Line 29.b. or Line 30.b.)

33. Final NTC (Line 31 minus Line 32)

(Amount Tenant pays Borrower for rent. If Line 33 is negative, Borrower pays the difference to Tenant for utilities.)

|    |  |  |  |   |   |   |
|----|--|--|--|---|---|---|
| \$ |  |  |  | 2 | 0 | 7 |
| \$ |  |  |  | 7 | 2 |   |
| \$ |  |  |  | 1 | 3 | 5 |

# Determining NTC

## PART IX

The first section requires the borrower to make a selection based on the calculations in the 3560-8 if the tenant is eligible to live in the unit or if the tenant has been deemed as ineligible to live in the unit.

a. Date Signed- Borrower is to enter today's date.

Line 33. Final NTC- Borrower is to sign the 3560-8

◦By signing, the borrower concludes that the information listed on the 3560-8 is true and accurate.

### PART X—CERTIFICATION BY BORROWER

I certify that the information on this form has been verified as required by federal law and the tenant household

☐ is eligible to live in the unit, or ☐ has been granted ineligible occupancy by RHS.

a. Date Signed

|   |   |   |   |   |   |
|---|---|---|---|---|---|
| M | M | D | D | Y | Y |
|   |   |   |   |   |   |

b. Signature of Borrower or Borrower's Representative

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# Monthly PROCESSING

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R E C E R T I F I C A T I O N

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# Recertification

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- **Annual Recertification**- Certifications are good for one year.
  - **Recertification Notices**- Notices must be sent to the tenant **75 to 90** days prior to the recertification expiration date.
  - If the household fails to respond to the initial letter, the borrower is to issue a second letter **30 days** prior.
  - **Recertification (also counts as an AR... resets NAR date)**
  - Tenants are to be recertified annually, however whenever there is a sufficient change in household status or an income increase of \$100 or more the tenant must be recertified. (HUD IR)
  - Borrowers are required to recertify a tenant, **per tenant request**, if there is a \$50 per month change in household income.
-



# Failure TO RECERTIFY

- **Rents During Eviction-** Tenants must pay rent during eviction as per the current RD 3560-8.
  - **Rents Without a Current Recertification-** A tenant who is not recertified is technically an ineligible tenant, and note rate rent must be collected.
  - **Tenant Failure-** The borrower must send written notification to the tenant within 10 days of the recertification date that: **Termination** proceedings are being initiated, and The tenant will be charged note rent until the tenant's lease is terminated.
  - **Borrower Failure-** If the borrower cannot document that a tenant received proper recertification notification, the tenant will continue to make net tenant contributions to rent based on their most recent Form RD 3560-8.
-

# Ineligible TENANTS



- **Ineligible tenants** are those who, upon recertification, fail to meet either the income or the occupancy **requirements** for the unit and property that they currently occupy.
- Regulations require that tenants who are no longer eligible to reside at the property be given notice that they must vacate the property within 30 days or at the end of their lease, **whichever is longer**.
- There are **some** situations and circumstances where ineligible tenants may continue to reside in the unit and property...**but it is rare**.

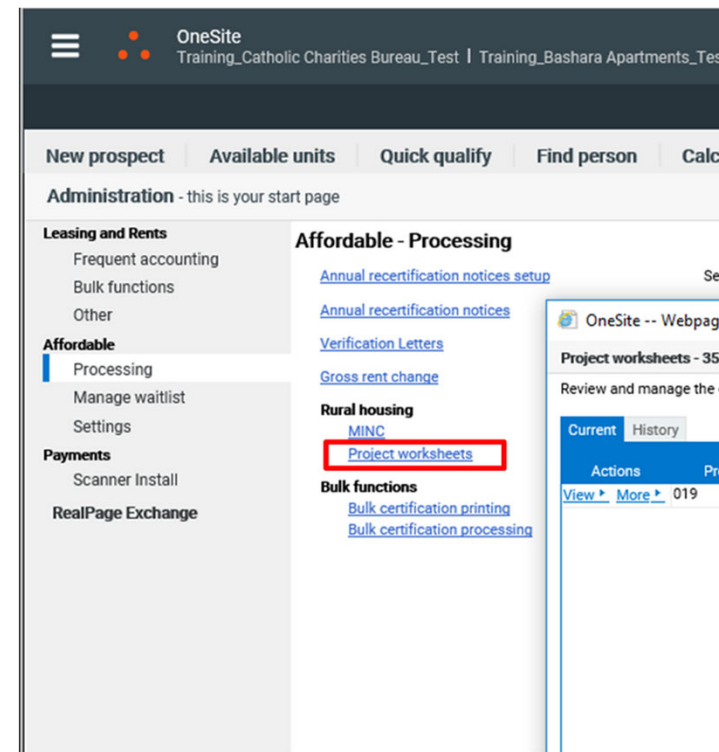
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# P R O J E C T W O R K S H E E T

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# Monthly REPORT

- RD Form 3560-29 and 3560-29 Part II (**Combination of HAP and EIR**)
- The **Project Worksheet** is a report that details monthly tenant activity.
- Similar to the HUD 52670. Must be done by the 10th of the month.
- The report consists of two pages (at a minimum): **Page 1** – 3560-29 “Notice of Payment Due”. **Page 2** – 3560-29 Part II
- The Project Worksheet in OneSite is simply a report that is generated monthly for the property’s records. It cannot be transmitted directly through MINC.



# Notice of Payment Due

3 5 6 0 - 2 9

- Displays project information
- Any necessary adjustments
- RA requested
- Monthly loan payment amount
- Amount the project will receive or pay to RD

## NOTICE OF PAYMENT DUE REPORT

|                      |                 |                |              |                   |
|----------------------|-----------------|----------------|--------------|-------------------|
| 1. BORROWER NAME     |                 | 2. CASE NUMBER |              | 3. PROJECT NO.    |
| 4. AUDIT RECEIVABLES | 5. LATE FEES    | 6. COST ITEMS  | 7. OVG/SURG  | 8. LOAN PAYMENT   |
| 9. PAST DUE          | 10. UNITS ON RA | 11. TOTAL RA   | 12. RA CHECK | 13. TOTAL PAYMENT |

ONLY FOR SECTION 8 PROJECTS WHERE HUD RENT EXCEEDS THE RHS NOTE RATE RENT

14. No. of Section 8 units \_\_\_\_\_ x 15. HUD Rent \_\_\_\_\_ = 16. \_\_\_\_\_  
 17. No. of Section 8 units \_\_\_\_\_ x 18. RHS Note Rate Rent \_\_\_\_\_ = 19. \_\_\_\_\_  
 ADDITIONAL PAYMENT TO THE RESERVE ACCOUNT 20. \_\_\_\_\_

# Part II

## 3 5 6 0 -2 9

This page will list all tenants in the project.

1. Unit Number
2. Unit Type (from 3560-8)
3. Number of individuals in the unit (from 3560-8)
4. Initial Occupancy Date (from 3560-8)
5. Expiration date of Tenant Certification (a year from the last certification)- "IR" certifications reset this date!
6. Name of Head of Household
7. Basic Rent from Section 8 or 515 projects (comes from 50059)
8. Note rate Rent from Section 8 or 515 (comes from 50059)

| PART II           |            | Page 1 of 2                  |                            |                                            | Name of Borrower<br>Okaloosa Senior Housing IHA II |                     |                         |
|-------------------|------------|------------------------------|----------------------------|--------------------------------------------|----------------------------------------------------|---------------------|-------------------------|
| 1.<br>Apt.<br>No. | 2.<br>Type | 3.<br>No. of<br>Indiv.<br>In | 4.<br>Initial<br>Occupancy | 5.<br>Exp. date<br>of Tenant<br>Certifica- | 6.<br>Leased To                                    | 7.<br>Basic<br>Rent | 8.<br>Note Rate<br>Rent |
| 25                | NI         | 1                            | 08/19/2015                 | 07/31/2018                                 | Elam, Glenda                                       | \$587.00            | \$704.00                |
| 26                | NI         | 1                            | 03/13/2017                 | 03/31/2018                                 | Sheets, Donna                                      | \$587.00            | \$704.00                |
| 27                | NI         | 1                            | 09/20/2005                 | 05/31/2018                                 | VanderBeek, Albert                                 | \$587.00            | \$704.00                |
| 28                | NI         | 1                            | 07/19/2017                 | 07/31/2018                                 | McKinney, Deborah                                  | \$587.00            | \$704.00                |
| 29                | NI         | 1                            | 11/21/2016                 | 11/30/2017                                 | Burke, Robert                                      | \$587.00            | \$704.00                |
| 30                | NI         | 1                            | 04/03/2017                 | 04/30/2018                                 | Carter, Samantha                                   | \$587.00            | \$704.00                |
| 31                | NI         | 1                            | 12/01/2005                 | 11/30/2017                                 | Leatherwood, Carol                                 | \$587.00            | \$704.00                |
| 32                | NI         | 1                            | 09/12/2013                 | 08/31/2017*                                | Schlechter, Robert                                 | \$587.00            | \$704.00                |
| 33                | NI         | 0                            | 00/00/0000                 | 00/00/0000                                 | Vacant                                             | \$0.00              | \$0.00                  |
| 34                | NI         | 1                            | 11/01/2016                 | 10/31/2017                                 | Howard, Debra                                      | \$587.00            | \$704.00                |
| 35                | NI         | 1                            | 11/10/2015                 | 10/31/2017                                 | Elam, Raymond                                      | \$587.00            | \$704.00                |
| 36                | NI         | 1                            | 10/31/2008                 | 09/30/2017                                 | Lanzer, Shelly                                     | \$587.00            | \$704.00                |
| 37                | NI         | 1                            | 05/26/2016                 | 04/30/2018                                 | Buzhey-Yarbrough, Patricia                         | \$587.00            | \$704.00                |
| 38                | NI         | 1                            | 11/02/2016                 | 04/30/2018                                 | Schlechter, Cecilia                                | \$587.00            | \$704.00                |

# Part II

## 3 5 6 0 -2 9

| TRIAL                   |                   |                       |                             |            | Reflects date as of 1st day of<br>September, 2017 |                                    |                          |
|-------------------------|-------------------|-----------------------|-----------------------------|------------|---------------------------------------------------|------------------------------------|--------------------------|
| 8.<br>Note Rate<br>Rent | 9.<br>HUD<br>Rent | 10.<br>%<br>of<br>GTC | 11.<br>Utility<br>Allowance | 12.<br>NTC | 13.<br>Amt. Due<br>Tenant to<br>Cover             | 14.<br>Rental<br>Assistance<br>Due | 15.<br>Overage<br>and/or |
| \$704.00                | \$0.00            | 30.00%                | \$45.00                     | \$ 65.00   | \$0.00                                            | \$522.00                           | \$0.00                   |
| \$704.00                | \$0.00            | 30.00%                | \$45.00                     | \$ 182.00  | \$0.00                                            | \$405.00                           | \$0.00                   |
| \$704.00                | \$0.00            | 30.00%                | \$45.00                     | \$ 329.00  | \$0.00                                            | \$258.00                           | \$0.00                   |
| \$704.00                | \$0.00            | 30.00%                | \$45.00                     | \$ 281.00  | \$0.00                                            | \$306.00                           | \$0.00                   |
| \$704.00                | \$0.00            | 30.00%                | \$45.00                     | \$ 159.00  | \$0.00                                            | \$428.00                           | \$0.00                   |
| \$704.00                | \$0.00            | 30.00%                | \$45.00                     | \$ 92.00   | \$0.00                                            | \$495.00                           | \$0.00                   |
| \$704.00                | \$0.00            | 30.00%                | \$45.00                     | \$ 226.00  | \$0.00                                            | \$361.00                           | \$0.00                   |
| \$704.00                | \$0.00            | 30.00%                | \$45.00                     | \$ 143.00  | \$0.00                                            | \$444.00                           | \$0.00                   |
| \$0.00                  | \$0.00            | 0.00%                 | \$0.00                      | \$ 0.00    | \$0.00                                            | \$0.00                             | \$0.00                   |
| \$704.00                | \$0.00            | 30.00%                | \$45.00                     | \$ 193.00  | \$0.00                                            | \$394.00                           | \$0.00                   |
| \$704.00                | \$0.00            | 30.00%                | \$45.00                     | \$ 165.00  | \$0.00                                            | \$422.00                           | \$0.00                   |
| \$704.00                | \$0.00            | 30.00%                | \$45.00                     | \$ 254.00  | \$0.00                                            | \$333.00                           | \$0.00                   |
| \$704.00                | \$0.00            | 30.00%                | \$45.00                     | \$ 343.00  | \$0.00                                            | \$244.00                           | \$0.00                   |
| \$704.00                | \$0.00            | 30.00%                | \$45.00                     | \$ 187.00  | \$0.00                                            | \$400.00                           | \$0.00                   |

9. HUD Rent for Section 8 / 515 (comes from 50059)

10. 30% if unit receives RA, regardless of calculation.

11. Utility Allowance From 3560-8

12. Net Tenant Contribution From 3560-8

13. Amount due to Tenant (Utility Reimbursement)

14. Rental Assistance Due (Assistance due to the property from RHS)

15. Overage and/or Surcharge (236 excess rent) when NTC is higher than Basic rent, returned to RHS.

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# Management Agent Interactive NETWORK CONNECTION

## Management Agent Interactive Network Connection

Certifications must be submitted by the tenth of the month for which they are due.

Example: A certification dated 06/01/2017 must be submitted to MINC no later than 06/10/2017.

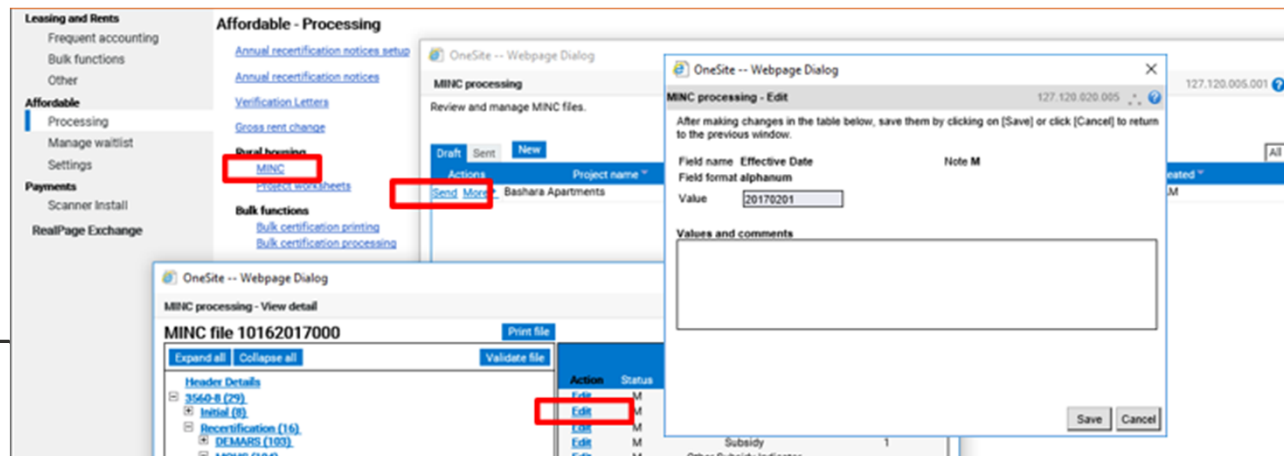
- If the borrower is unable to transmit electronically they must then submit the hard copies of the certifications to the Agency by the tenth of that month.

### **Log into the MINC website and manually upload files for transmission**

- OneSite allows for the creation of the necessary files, but users will then have to **manually upload the** files to the MINC website. The files are saved on the computer's hard drive.

# MINC FILES

- MINC files are generated in OneSite using the very same process as TRACS files. (or, they can manually enter the data in the MINC site directly)
- They are much simpler files and may be edited in the details window normally.
- When the MINC file is ready, the client clicks “Send” and saves the file to their computer and then logs on the MINC site and uploads the files manually.



Internal Use

- E N D -

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